Subject: Re: Lamb Weston - Newline Authority Request 11/10/2025
Date: Tuesday, September 30, 2025 at 5:55:05 PM Central Daylight Time
From: Larson, Paul
To: Dos Santos, Tiago, Haran, Richard
Attachments: image001.png, image002.png, image003.png, image004.png, image005.png, image006.png, image007.png, image008.png, image009.png

I agree that we take a pass on this one.

From: Dos Santos, Tiago <Tiago.DosSantos@LibertyMutual.com>
Sent: Tuesday, September 30, 2025 5:48:12 PM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>; Larson, Paul <Paul.Larson@LibertyMutual.com>
Subject: Lamb Weston - Newline Authority Request 11/10/2025

Hey Rick and Paul -

Opportunity coming in here from Sara Conley at Marsh LA. Broker is looking to replace Sompo at this layer as they are no longer able to maintain their pricing. The broker is looking to see if we would fill in the $10m x $70m for $52,000 including a $250k x $1.75M DDI sublimit.

We reviewed this risk last year and declined due to the STM model being 7.1%. The layer we looked at was the $10m x $20m for $100k flat. Travelers was the incumbent last year and walked due to pricing. STM this year is much more acceptable for the $10m x $70m at 52%.

For such a simple business model this company is constantly being sued and has a lot going on. I could not find anyone snooping due to the stock drop in December.

There is new BOD and Management, see below:

- https://investors.lambweston.com/news-releases/2025/06-30-2025-133025053
  - Lamb Weston to Appoint Six New Independent Directors to Its Board
- https://news.lambweston.com/newsroom-home/press-release-details/2024/Lamb-Weston-Announces-Appointment-of-Michael-J.-Smith-as-President-and-Chief-Executive-Officer/default.aspx
  - Lamb Weston Announces Appointment of Michael J. Smith as President and Chief Executive Officer
    - https://www.idahostatesman.com/news/business/article297363759.html
      - The sharks are circling Eagle's Lamb Weston as activist investor demands changes

The company had an activist investor, Jana Partners, who owns approximately 7% of the business. Lamb Weston reached a settlement with Jana Partners which gives the activist investor a big presence on the french-fry maker's board and averts a bruising board fight. The agreement will add four of Jana's proposed director candidates to the board and two other mutually agreed-upon directors, expanding the board from 11 to 13 members. Four recent board members stepped down due to this lawsuit. The truce marks one of the biggest settlements in terms of directors changing over this year and comes after Jana spent more than seven months pushing management for operational and capital improvement and possibly even a sale.

- https://www.reuters.com/sustainability/sustainable-finance-reporting/lamb-weston-settles-with-jana-giving-activist-big-voice-board-2025-06-30/

Lamb Weston has been implementing a multi-year, company-wide restructuring plan since late 2024 to achieve at least $250 million in annual savings by fiscal 2028. Key actions include workforce reductions (around 4% of its global workforce was cut in July 2025, following a similar reduction in October 2024), closing facilities like its Connell, WA plant, and temporarily curtailing production lines to improve operational efficiency and working capital. These efforts aim to reduce costs, improve profitability and cash flow, and address weak global restaurant traffic trends.

Although I would love to get a win with the Marsh LA office, I feel this would not be a good write. Even though the SCA and derivatives have already been filed, this company is still in a very turmoil period and based on all the information provided above and below, I don't believe this tower is accurately priced given it's exposure. Given the information provided, I think we should decline. However, wanted to make sure I discussed this one internally. Let me know if you feel differently.

Lamb Weston has explicitly included tariff impacts in its fiscal 2026 guidance, whereas previously, tariffs were excluded from outlook calculations. The company's main tariff exposure relates to imports of palm oil and other ingredients, primarily sourced from Indonesia and Malaysia. On an annualized basis, this exposure is expected to be approximately $25 million for the year.

Lamb Weston is currently facing several headwinds impacting its financial and operational performance:

1. Unfavorable Price/Mix Dynamics
   - The company experienced a 7% decline in price/mix at constant currency in the first quarter, which was a key driver of flat net sales despite strong volume growth. This pressure is attributed to the carryover impact of prior pricing and trade investments, ongoing support for customers, and unfavorable channel and product mix within segments. The company expects the unfavorable price/mix trend to persist, particularly in the first half of fiscal 2026, before moderating in the second half as new contracts take effect.
2. Increased Competitive Activity
   - Competitive actions have intensified in certain international markets, notably in Europe and Latin America (especially Brazil). This has led to additional pricing pressure and a need for increased price support to retain and grow business. In Europe, strong potato crops combined with soft restaurant market demand and increased competition are expected to continue to pressure price/mix for the remainder of the year.

3. Factory Burden and Start-up Costs
    - The company incurred around $15 million of increased fixed factory burden absorption and $4 million of incremental costs related to the start-up of the new production facility in Argentina, contributing to pressure on gross profit margins. Additional higher factory burden from longer-than-expected planned maintenance downtime at a North America plant and further start-up expenses in Argentina are expected to adversely affect margin performance in the international segment in the second quarter.
4. Restaurant Traffic Trends
    - While QSR traffic in the U.S. was flat in the quarter, certain subsegments like hamburger QSRs experienced a low single-digit decline, including an additional 1% drop in August. Internationally, traffic was mixed, with declines in the UK (down 4%) and Italy, but modest increases in markets like France, Germany, and Spain. These trends can impact demand for Lamb Weston's products.
5. Channel Mix Shifts
    - In North America, there is a shift in the retail channel mix toward private label volume versus branded volume, which may be less profitable and further pressures margins
6. Equity Method Investment Losses
    - The company reported a $600,000 loss from equity method investments, down from $11 million in earnings in the prior year, due to lower sales volume, lower prices, and unfavorable sales mix from its affiliate

In contrast they also have some optimistic tailwinds:

1. Strong Volume Growth and Customer Wins
    - The company achieved 6% volume growth in the first quarter, driven primarily by customer wins and retention, especially in North America and Asia. Notably, the rate of new customer volume in North America scaled earlier than planned, which provided an unexpected boost to results.
2. Operational Improvements and Strong Free Cash Flow
    - Lamb Weston delivered strong free cash flow of $273 million in the quarter, with cash from operations up $22 million year-over-year, largely due to lower inventories. Capital expenditures also declined as major expansion projects were completed
3. Innovation and New Product Launches
    - Lamb Weston continues to launch innovative products, such as flavor-forward offerings from Alexia and new licensed brands like PAW Patrol waffle fries. Internationally, the rollout of crunchy artisanal fries has been well received
4. Positive Industry Trends
    - The fry attachment rate remains about 2 percentage points higher than pre-pandemic, indicating increased consumer demand for fries when dining out. Global demand is growing, with 44% of global menus offering fries, and fry volume growth is outpacing total food growth since 2019
5. Favorable Potato Crop and Cost Outlook
    - Growing conditions for potatoes in North America and Europe have generally been favorable, leading to above-average or near-average yield forecasts. In North America, aggregate contract prices for the 2025 potato crop are set to decrease by a mid-single-digit percentage, and the benefits of these lower prices are expected to be realized beginning late in the fiscal second quarter.
6. Strong Liquidity Position
    - Lamb Weston ended the quarter with approximately $1.4 billion in liquidity, including $1.3 billion available under its revolving credit facility and $99 million in cash and equivalents. The adjusted EBITDA-to-net debt leverage ratio was 3.1x on a trailing 12-month basis, supporting financial flexibility

Account Name Search Results for **LAMB WESTON HOLDINGS, INC. (LM-9-466582)** as of 8/31/2025

Corp Entity Nme	Type Product	Distribution Segment	Distribution Department	
Grand Total				**$203,002**
MARSH	All Risk	Specialty	Specialty Property	149,619
	D&F Worldwide - UK and Ireland	LSM Europe	LSM Europe	53,383

Expiring

Layer	Carrier(s)	Part Of Limit	Attachment (or SIR)	Premium	RPM (rate per mil)	Rate on Line	Rate of Underlying
1	Zuirch	$ 10,000,000	$ 2,500,000	$ 257,200	$ 25,720	2.6%	
2	Arch	$ 10,000,000	$ 10,000,000	$ 180,000	$ 18,000	1.8%	69.98%
3	AXA XL	$ 10,000,000	$ 20,000,000	$ 120,000	$ 12,000	1.2%	66.67%
4	Swiss RE	$ 10,000,000	$ 30,000,000	$ 98,000	$ 9,800	1.0%	81.67%
5	Old Republic	$ 10,000,000	$ 40,000,000	$ 90,275	$ 9,028	0.9%	92.12%
6	Allianz	$ 10,000,000	$ 50,000,000	$ 67,300	$ 6,730	0.7%	74.55%
7	Westfield	$ 10,000,000	$ 60,000,000	$ 55,000	$ 5,500	0.6%	81.72%
8	Liberty	$ 10,000,000	$ 70,000,000	$ 52,000	$ 5,200	0.5%	94.55%

Rating Considerations		
Commision	0.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	2,000,000	

		Layer Information						US SCA Frequency				US SCA
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	Excess Exp Freq	Ground Sever
USD 10m xs 70m	2,000,000	70,000,000	10,000,000	100%	ABC	52,000	Quoted	3.0%	55.0%	32.8%	0.53%	87.8
Custom layer	2,000,000											
Custom layer	2,000,000											
Custom layer	2,000,000											
Custom layer	2,000,000											

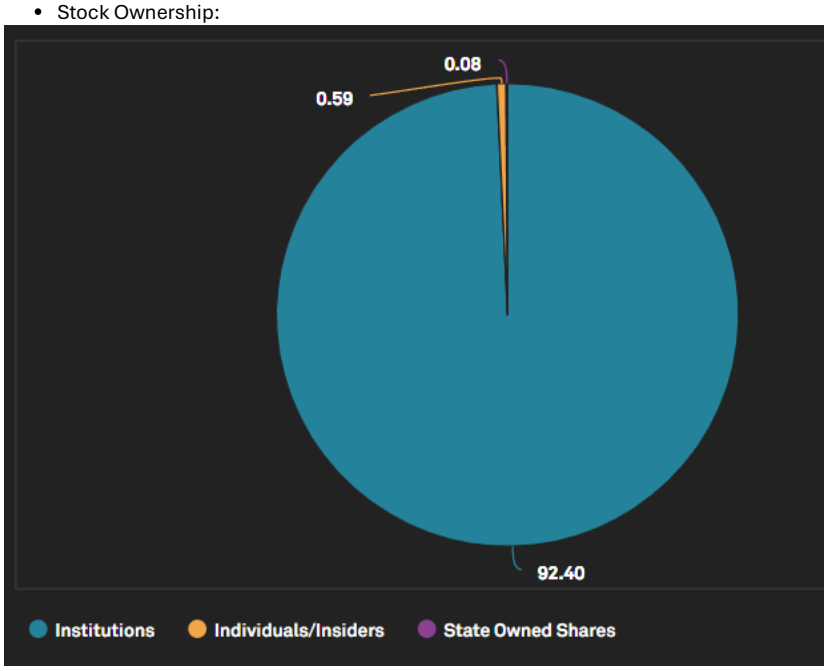
Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount

About the company:

- Lamb Weston Holdings, Inc. engages in the production, distribution, and marketing of frozen potato products in the United States, Canada, Mexico, and internationally. It offers frozen potatoes, commercial ingredients, and appetizers under the Lamb Weston brand, as well as under various customer labels. The company also provides its products under its owned or licensed brands, such as Grown in Idaho and Alexia, and other licensed brands, as well as under retailers' own brands. It sells its products through a network of internal sales personnel and independent brokers, agents, and distributors to quick service and full-service restaurants and chains, wholesale, grocery, mass merchants, club retailers, and specialty retailers, as well as foodservice distributors and institutions, including businesses, educational institutions, independent restaurants, regional chain restaurants, and convenience stores. Lamb Weston Holdings, Inc. was incorporated in 1950 and is headquartered in Eagle, Idaho.

Stock Price as of 9/30/2025:

- Stock Price: $58.08
- Market Cap: $7.76B
- Shares Outstanding: 139.35M
- Public Float: 138.06M
  - 3.31% of float shorted
- BETA: 0.74
- Dividend: $0.37
- Stock Performance: YTD stock is down -13.09%. YoY stock is down -10.52%.
- Stock Fluctuation:
  - December 18, 2024
    - The stock price dropped by 25%. The stock price drop was likely caused by the company's second quarter financial results, which were below expectations due to higher-than-expected manufacturing costs and softer-than-expected volumes, resulting in a net loss of $36.1 million and a loss per share of $0.25 compared to a net income of $215.0 million and earnings per share of $1.48 in the prior year quarter. Additionally, the company expects challenging conditions and declining earnings to persist through the remainder of fiscal 2025, driven by weak restaurant traffic, global supply-demand imbalances, and increased costs associated with the Restructuring Plan. The benchmark index Vanguard World Fund - Vanguard Consumer Staples ETF (VDC) didn't drop in this period. This stock price drop was not tied to the benchmark index.
- Stock Ownership:



Holder	Common Stock Equivalent Held	Percent of Common Shares Outstanding (%)	Market Value ($M)	Position Date
Vanguard Group Inc.	16,997,436	12.20	987.2	06/30/2025
BlackRock Inc.	14,142,622	10.15	821.4	06/30/2025
T. Rowe Price Group Inc.	6,804,146	4.88	395.2	06/30/2025
FMR LLC	5,882,133	4.22	341.6	06/30/2025
State Street Global Advisors Inc.	5,801,585	4.16	337.0	06/30/2025

1 Year Stock Chart

2 Year Stock Chart

5 Year Stock Chart

Financials:

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	5/25/2024	5/25/2025		8/24/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$305	$71	-77%	$99
Current Assets	$2,127	$2,033	-4%	$1,873
Total Assets	$6,520	$7,393	13%	$7,237
Current Liabilities	$1,360	$1,476	9%	$1,258
Long Term Debt	$3,242	$3,679	13%	$3,671
Working Capital	$767	$557	-27%	$615
Income Statement				
Revenues	$5,351	$6,451	21%	$1,659
Operating Income	$862	$856	-1%	$189
Net Income	$1,009	$357	-65%	$64
Gross Margins (%)	$27	$23	-15%	$21
Cash Flow Statement				
Operating Cash Flow	$762	$868	14%	$352

- Lamb Weston Holdings, Inc. reported essentially flat net sales for the first quarter of fiscal 2026, with a $5 million increase that includes a $24 million favorable impact from foreign currency translation. On a constant currency basis, net sales declined by 1% compared to the prior year, reflecting a 6% volume increase offset by a 7% decline in price/mix. The volume growth was driven by customer wins and retention, particularly in North America and Asia, while the price/mix decline was due to prior pricing and trade investments, ongoing customer support, and less favorable channel and product mix. North America saw net sales decrease by 2% as price/mix fell by 7%, but volume increased 5%, largely from new customer contracts and growth across channels. The International segment experienced a 4% increase in net sales (flat at constant currency) with a 6% rise in volume and a 6% decline in price/mix; this was attributed to pricing actions in key markets to support customers and increased competition, especially in Europe and Latin America.
- Adjusted gross profit declined, mainly due to the unfavorable price/mix, but this was partially offset by higher sales volumes and a decrease in manufacturing cost per pound, attributed to cost savings initiatives and lapping a prior year charge from a voluntary product withdrawal. Increased fixed factory burden absorption and start-up costs for the new Argentina facility also had a negative effect. Despite the anticipated decline, gross profit decreased less than expected due to stronger-than-anticipated sales volumes and incremental cost savings.
- Adjusted EBITDA was flat year-over-year at $302 million, as currency-related net sales gains were mostly offset by higher local currency expenses. In North America, adjusted EBITDA fell by 6% ($18 million) to $260 million, primarily due to price and trade investments, though higher sales volumes, lower manufacturing costs, and reduced SG&A (all aided by cost savings initiatives) provided some offset. The International segment's adjusted EBITDA increased by $6 million to $57 million, benefiting from the absence of last year's withdrawal charge, lower potato prices, cost savings, and favorable currency, though these were mostly offset by continued price support for customers, competitive actions, and Argentina start-up costs.
- On liquidity, the company ended the quarter with $1.4 billion in liquidity, comprised of $1.3 billion available under its revolving credit facility and $99 million in cash. Net debt was $3.9 billion, with an adjusted EBITDA-to-net debt leverage ratio of 3.1x. Cash from operations grew by $22 million to $352 million, primarily due to lower inventories, and free cash flow was strong at $273 million. Capital expenditures dropped significantly to $79 million as major expansion projects wrapped up, and the full-year expectation is $500 million, allocated between maintenance, modernization, and environmental projects.
- The company reaffirmed its fiscal 2026 outlook, expecting revenue at constant currency rates between $6.35 billion and $6.55 billion (ranging from a 2% decline to a 2% increase), and adjusted EBITDA between $1 billion and $1.2 billion. Volume growth is anticipated in both segments, although price/mix is expected to remain unfavorable, especially in the first half of the year. The guidance now also incorporates expected tariff impacts. Gross profit margins are projected to be flat between the first and second quarters, with a seasonal step up expected in the third quarter. The tax rate guidance has been updated to a range of 26% to 27% for the year.

Management:

- Micahel Jared Smith - President, CEO & Director - Michael Jared Smith, also known as Mike, was Chief Operating Officer of Lamb Weston, Inc. from May 2023 until January 03, 2025 and serves as its CEO & Director since January 03, 2025. Mr. Smith had been Senior Vice President and General Manager of Foodservice, Retail, Marketing & Innovation at Lamb Weston Holdings, Inc. ("Lamb Weston") since April 2018 until May 29, 2023 and had served as its Senior Vice President of Growth and Strategy a from September 2016 to April 2018. He served as Chief Operating Officer at Lamb Weston Holdings, Inc. since May 29, 2023 until January 03, 2025 and serves as its President, CEO & Director since January 03, 2025. He has been a key leader at Lamb Weston since joining the company in 2007.
- Bernadette M. Madarieta - CFO - Bernadette M. Madarieta was Corporate Vice President and Controller of Boise Inc since February 1, 2011 and served as its Chief Accounting Officer. She has been Corporate Vice President and Controller of BZ Intermediate Holdings LLC. since February 1, 2011 and serves as its Chief Accounting Officer. She joined Lamb Weston in October 2016. She was Vice President and Controller at Lamb Weston Holdings, Inc. since November 2016 until August 6, 2021 and also served as its Principal Accounting Officer since November 2016. She is Chief Financial Officer at Lamb Weston Holdings, Inc. since August 6, 2021 and served as its Senior Vice President since August 6, 2021 until May 2023.
- Benjamin Heselton - CIO - Benjamin Heselton, also known as Ben, is Chief Information Officer at Lamb Weston Holdings, Inc. since May 2025. Mr. Heselton joined Lamb Weston from Wurth IT USA, where he served as the chief technology officer. As the leader of Wurth?'s digital organization, He oversaw IT services for all Wurth North American Operations, led new global software development, partnered with other Wurth global IT organizations and was a founding member of the Lamb Weston Holdings Global Information Security Council.
- Eryk J. Spytek - General Counsel & Chief Compliance Officer - Eryk J. Spytek has been General Counsel of Lamb Weston Holdings, Inc. since

October 2016 and has been its Chief Compliance Officer since October 2016. He was Senior Vice President at Lamb Weston Holdings, Inc. since October 2016 until May 2023. He was Corporate Secretary of Lamb Weston Holdings, Inc. from October 2016 to November 2020. From June 2015 until October 2016, Mr. Spytek was Of Counsel at Winston & Strawn LLP, a law firm. Mr. Spytek served as Senior Vice President, General Counsel and Secretary of Sirva Inc., since February 13, 2006 to February 2009.

Board of Directors:

- The board consist of 12 individuals. Of the 12, only the CEO is dependent. Average Tenure of the board is 4yrs, 3mths. Longest Tenure individual is Andre J. Hawaux and Hala Moddelmog (8yrs, 2mths). Andre J. Hawaux is an Independent Director at Tractor Supply Company since July 1, 2022. He served as the Chief Operating Officer and Executive Vice President of Dick's Sporting Goods, Inc. since February 2, 2015 until August 2017 and served as its Interim Principal Financial Officer from August 2016 to October 3, 2016. Mr. Hawaux is an Industry Veteran with extensive planning, international and financial experience has spent years in the Pepsi system, holding positions in corporate finance and audit, business planning and international finance. He served as the President of Consumer Foods at Conagra Brands, Inc. (a/k/a ConAgra Foods, Inc.) from January 2009 to May 2, 2013. Hala G. Moddelmog serves as Independent Director of Corpay, Inc. (formerly known as FLEETCOR Technologies, Inc.) since April 20, 2017. Ms. Moddelmog serves as Director at Novolex since June 2020. Ms. Moddelmog has served as the President and Chief Executive Officer of the Woodruff Arts Center, since September 2020. She had been the President and CEO of the Metro Atlanta Chamber of Commerce, a position she had held since 2014 until June 2020. Shortest Tenure is Ruth Kimmelshue, Scott David Ostfield, and Timothy R. McLevish (2months). Ruth S. Kimmelshue is Independent Director of Lamb Weston Holdings, Inc. from July 2025. Ms. Kimmelshue serves as Senior Advisors of Conti Ventures since 2025She was the Lead of Animal Nutrition & Health Business at Cargill, Incorporated until 2025. She served as Chief Sustainability Officer of Business Operations & Supply Chain at Cargill Inc. since September 2019

Merger and Acquisition:

- Lamb Weston has supported growth through capital expansion and acquisitions, such as investing in a new processing facility in Argentina and acquiring the remaining equity interest in LW EMEA, its former European joint venture, in fiscal 2023. The acquisition of LW EMEA increased Lamb Weston's equity ownership from 50% to 100% and also its joint venture in Argentina, Lamb Weston Alimentos Modernos S.A ("LWAMSA"), from 50% to 90%.

Revolver:

- As of August 24, 2025, the total amount available under the revolving credit facility was $1,318.4 million, indicating significant undrawn capacity for liquidity needs. The company had $181.6 million outstanding under the revolving credit facility at an interest rate of 4.100% as of August 24, 2025.

Litigation:

- Per most recent 10Q or 10K:
  - In June 2024, two putative class actions were filed in the U.S. District Court for the District of Idaho against the company and certain current and former executive officers, alleging violations of federal securities laws. The lawsuits were consolidated in November 2024. The amended consolidated complaint claims that the defendants made misrepresentations and omissions regarding the design and implementation of the company's enterprise resource planning system and pricing practices. The proposed class covers purchasers of the company's common stock between July 25, 2023 and December 19, 2024. As of April 25, 2025, a motion to dismiss was filed, but no hearing date has been set.
  - In June 2025, a purported company stockholder filed a verified derivative complaint (nominally on behalf of the company) against certain current and former directors and officers, alleging violations of federal securities laws and breach of fiduciary duty, stemming from the same or similar issues as in the securities class actions. This derivative lawsuit has been stayed pending resolution of the motion to dismiss in the securities class action. The company believes these lawsuits lack merit and intends to vigorously defend against them but is currently unable to predict the outcome or estimate any potential loss.
  - In November 2024, a class action complaint was filed in the U.S. District Court for the Northern District of Illinois against the company, certain subsidiaries, and other producers of frozen potato products, alleging violations of antitrust laws. Additional class action complaints were later filed in the same court, with claims on behalf of direct purchasers, commercial and institutional indirect purchasers, and end-consumer indirect purchasers, some also naming a data provider and a trade association as defendants. The complaints allege that, beginning at least as early as January 1, 2021, the defendants conspired to raise the price of frozen potato products above competitive levels. The relief sought includes treble damages, injunctive relief, interest, costs, and attorneys' fees. The complaints are being consolidated and amended. Similar class actions have also been filed in Canada. The company believes these complaints lack merit and intends to vigorously defend against the allegations, but is unable to predict the outcome or estimate potential losses at this preliminary stage.
  - The company is also a party to various other legal actions arising in the ordinary course of business, including claims related to casualty, product liability, employment, and other disputes. The company recognizes an estimated loss when it is considered probable that a liability has been incurred and the amount can be reasonably estimated. While litigation always carries some uncertainty, the company does not believe the outcome of currently pending or threatened actions will have a material adverse effect on its financial condition, results of operations, or cash flows.
- Per SCAC:
  - Filing Date: June 13, 2024
    - The Complaint alleges Defendants knew of, or recklessly disregarded, problems associated with the ERP system that would hinder its successful implementation, and that despite those issues, Lamb Weston pushed ahead with its implementation of an ERP system that was not ready to go live, knowing that a premature roll-out would have a material negative impact on the Company's business and operations. As a result, the Complaint alleges, the statements concerning its business, operations, and prospects, including its financial guidance for fiscal 2024, lacked a reasonable factual basis. In addition, to the extent the Company purported to warn of risks regarding the negative impacts from an unsuccessful implementation of the ERP system, Defendants omitted that such risks had already begun to materialize. On November 12, 2024, the Court issued an Order consolidating cases and appointing Lead Plaintiff and Counsel. All future docketing was ordered to be done in the lead case 24-

CV-00282. Lead Plaintiff filed an amended Complaint on February 21, 2025.

- Per Loss Runs:
  - Pending

Tiago Dos Santos
D&O Public Underwriter
Financial Lines

515 S. Flower St., Suite 950
Los Angeles, CA 90071
Liberty Mutual Insurance
Phone: (646) 826-6734
Cell: (201) 407-3532